BDRY

BREAKWAVE ADVISORS

Dry Bulk Shipping

November 26, 2024

Breakwave Dry Futures Index:	1,290	Baltic Dry Index (spot):	1,529	Short-term Indicators:	
↓ *30D: -11.9%*		↑ *30D: 8.4%*		*Momentum:*	Neutral
↓ *YTD: -13.9%*		↓ *YTD: -27.0%*		*Sentiment:*	Neutral
↓ *YOY: -10.8%*		↓ *YOY: -27.3%*		*Fundamentals:*	Neutral

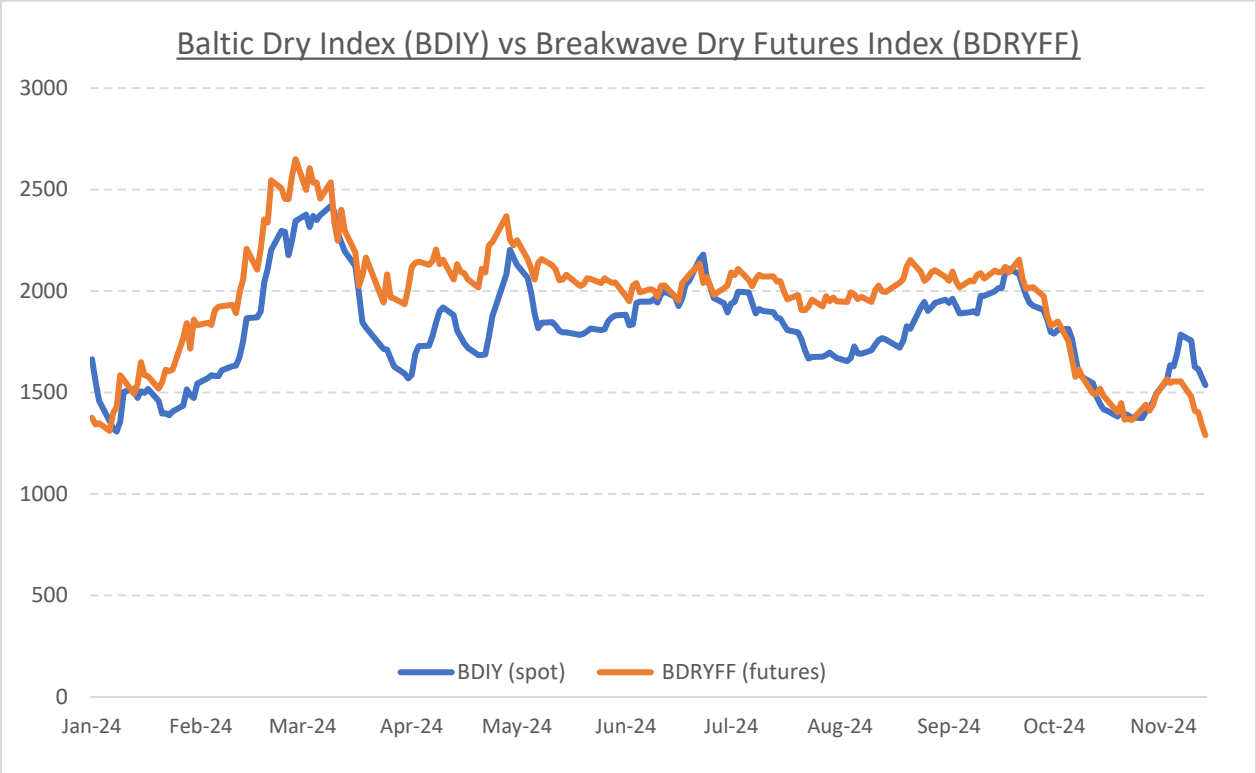
Bi-Weekly Report

- **Capesize Rates Reach mid-20,000s as Panamax market Hit 8-Year Lows** – The sharp rally in Capesize spot rates has come to a **halt**, with the Atlantic market experiencing a **marked downturn**. While activity has picked up, the persistently **weak Panamax** market continues to exert significant **pressure** on larger vessels, as cargo splits remain the most cost-effective strategy for certain shipments-especially in the Panamax-prone Atlantic. Sustainable strength in the dry bulk sector seems unlikely without support from the versatile Panamax segment. Currently, **slow grain exports** from the U.S. Gulf are dampening demand in the mid-size dry bulk segment during what is typically one of the strongest periods of the year. Although there is **limited visibility** of a near-term recovery, with spot rates hitting eight-year lows for this season, questions arise about the extent to which Capesizes are ceding market share to Panamaxes in an otherwise favorable economic environment. Yet, we **anticipate one more upward movement** for dry bulk shipping before year-end and consider the **likelihood of a rebound** within the next few weeks to be **relatively high**. However, expectations for a sustained rally are tempered, as first-quarter futures for Capesizes appear overly elevated, offset by relatively low Panamax futures prices. Overall, we **remain cautiously optimistic near term**, seeing a favorable balance of risk versus reward in the dry bulk market as we move deeper into winter.

- **China Maintains Flexibility Before the New Upcoming US Administration Takes Charge –** There is **considerable uncertainty** surrounding the direction of **U.S. trade policy**, and **China maintains** substantial policy **flexibility**, which should allow it to offset potential negative impacts from new tariffs or trade restrictions. However, we believe the prolonged and challenging adjustments within China's real estate sector are unlikely to benefit significantly, as any **economic stimulus** is expected to **target** emerging technologies, renewable energy, and high-value products rather than new construction. This focus does **not favor traditional industries** such as steel. Iron ore inventories remain high, and we expect them to reach record levels in the coming months as construction activity slows due to seasonal weather factors. An **inventory cycle appears imminent**, and we anticipate a notable decline in inventories next year, which could negatively affect Chinese iron ore imports following a year of strong demand. Such inventory cycles typically exert downward pressure on prices, and we **expect iron ore prices** to fall into the **$70s per ton** soon in order to achieve a more balanced seaborne market.

- **Our Long-term View –** The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by stable bulk commodity demand and a slower fleet growth owing to a relatively low orderbook.

The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.



Dry Bulk Fundamentals

Demand	**YTD**	**YOY**
China Steel Production	851mt	-2.7%
China Steel Inventories	3.0mt	-14.8%
China Iron Ore Inventories	151mt	38.9%
China Iron Ore Imports	1024mt	4.8%
China Coal Imports	435mt	13.5%
China Soybean Imports	90mt	7.1%
Brazil Iron Ore Exports	325mt	5.7%
Australia Iron Ore Exports	682mt	1.8%

Supply		
Dry Bulk Fleet	1030dwt	3.0%

Freight Rates		
Baltic Dry Index, Average	1,808	41.7%
Capesize Spot Rates, Average	23,447	61.4%
Panamax Spot rates, Average	13,216	20.2%

Note: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals
Sources: Bloomberg and Breakwave Advisors

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